

Japan Exchange Group (8697.T)

Raising our target price on higher trading value and turnover; maintain Buy; trading value ex AI stocks also strong

8697.T

12m Price Target: ¥2,400

Price: ¥2,122

Upside: 13.1%

We adjust our earnings estimates and raise our target price by 23% for JPX, reflecting recent earnings, trading value trends, and changes in the interest rate environment. ADTV for April-June 2026 was ¥12.392 tn (domestic common stocks, ETFs/REITs), representing a +106% yoy increase, with strong growth of +63% yoy in April, +118% yoy in May, and +139% yoy in June. Turnover (trading value divided by market cap) is also up, reaching 193% in April, 244% in May, and 250% in June. Although AI-related stocks contributed significantly, ADTV excluding AI stocks (calculated by subtracting the trading value and market cap of AI-related stocks) also grew sharply by +49-137% yoy in April-June, with non-AI turnover also up substantially at 175% in April, 230% in May, and 244% in June. This expansion in trading activity could be attributed to increased trading by foreign and retail investors, possibly driven by expectations for corporate governance reforms.

We adjust our profit estimates for JPX using the past 12-month average adjusted turnover (excludes AI-related stocks from both the numerator and denominator for monthly turnover) to eliminate AI-related volatility. Even when excluding AI-related stocks, turnover remains high, and we therefore make upward adjustments to our ADTV estimates of +38% for FY3/27, +22% for FY3/28, and +26% for FY3/29. At the same time, factoring in capacity updates for the “arrowhead” equity order processing system and scope for general IT system investment, we also raise our operating expense estimates by +10%/+11%/+12%. As a result, we raise our EPS forecasts by +28%/+12%/+12%.

We raise our 12-month target price to ¥2,400 (+13% upside from the July 9 close; previous TP ¥1,950) reflecting the increase in our EPS estimates. Our TP is calculated by multiplying our FY3/28 EPS estimate by 5-year average 12-month forward P/E (25.19X). Key catalysts include a potential upward revision to full-year guidance reflecting upside in trading value (historically implemented in

BUY

Makoto Kuroda

+81(3)4587-9920 | makoto.kuroda@gs.com
Goldman Sachs Japan Co., Ltd.

Hibiki Takuma

+81(3)4587-4935 | hibiki.takuma@gs.com
Goldman Sachs Japan Co., Ltd.

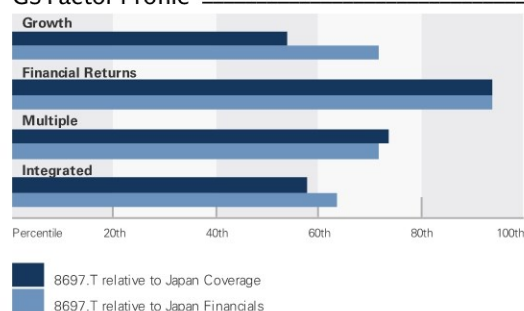
Key Data

Market cap: ¥2.2tr / \$13.4bn
3m ADTV: ¥8.1bn / \$50.8mn
Japan
Japan Financials
M&A Rank: 3

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn) New	198.7	243.6	248.5	264.5
Revenue (¥ bn) Old	188.6	205.6	226.0	239.0
EPS (¥) New	76.8	98.1	95.3	103.3
EPS (¥) Old	70.7	76.5	85.1	91.8
P/E (X)	21.7	21.6	22.3	20.5
P/B (X)	5.0	6.2	6.0	5.5
ROE (%)	23.2	28.9	27.4	27.8
DPS (¥)	60.9	75.9	65.9	70.0
Dividend yield (%)	3.7	3.6	3.1	3.3
	3/26	6/26E	9/26E	12/26E
EPS (¥)	23.5	28.8	21.4	22.9

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

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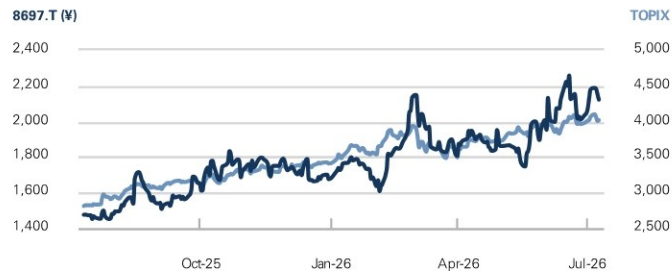
Rating since Aug 14, 2025

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	21.7	21.6	22.3	20.5
P/B (X)	5.4	6.2	6.0	5.5
Dividend yield (%)	3.7	3.6	3.1	3.3
ROE (%)	23.2	28.9	27.4	27.8
Clearing house funds (¥ bn)	–	–	–	–
Margin funds (¥ bn)	–	–	–	–
Total client assets (¥ bn)	–	–	–	–

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	22.5	22.6	2.0	6.5
EPS growth	30.8	27.8	(2.9)	8.4
EBITDA margin	67.0	66.5	63.3	63.7
Op. profit margin	57.9	58.7	55.5	56.1
Pre-tax margin	59.0	59.9	56.7	57.3
Net margin	39.8	41.1	38.9	39.4

Price Performance

	3m	6m	12m
Absolute	10.5%	20.3%	41.8%
Rel. to the TOPIX	2.8%	5.1%	(0.3)%

Source: FactSet. Price as of 9 Jul 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Equity trading & clearing fees	–	–	–	–
Derivatives trading fees	–	–	–	–
Depository services	–	–	–	–
Market data	33.7	35.4	36.6	38.0
Listing fees	18.7	20.0	20.8	21.5
Investment income (operating)	–	–	–	–
Other revenue	14.8	15.7	16.5	17.3
Total revenue	198.7	243.6	248.5	264.5
Compensation & benefits exp.	(24.3)	(25.8)	(27.2)	(28.5)
Technology & comm. exp.	(20.8)	(22.6)	(23.3)	(24.4)
Depreciation & amortization	(18.0)	(19.1)	(19.5)	(19.9)
Occupancy expense	(1.0)	(0.9)	(0.9)	(0.9)
Other costs	(19.4)	(32.3)	(39.8)	(42.2)
Total operating expense	(46.2)	(49.3)	(51.4)	(53.9)
Inv. inc. & other (non-op.)	–	–	–	–
Income/(loss) from associates	–	–	–	–
Profit/(loss) on disposals	–	–	–	–
Total other net	2.1	2.9	3.0	3.2
Pre-tax profit	117.2	145.8	140.9	151.7
Provision for taxes	(35.5)	(43.4)	(42.0)	(45.2)
Tax rate (%)	30.3	29.8	29.8	29.8
Minorities, pref div & others	–	–	–	–
Net inc. (post-exceptionals)	79.1	100.1	96.6	104.2
GS net income	--	--	--	--
GS EPS (¥)	--	--	--	--
DPS (¥)	60.9	75.9	65.9	70.0
Div. payout ratio (%)	78.9	77.4	69.2	67.8
Wtd avg shares out. (basic) (mn)	1,030.3	1,020.1	1,013.8	1,009.2

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	274.5	245.7	254.9	287.3
Restricted cash	–	–	–	–
Investments	–	–	–	–
Accounts receivable	24.7	25.0	26.0	27.4
Other current assets	71,121.9	71,744.0	73,895.3	77,425.1
Total current assets	71,421.1	72,014.8	74,176.2	77,739.8
Net PP&E	12.3	14.9	17.5	20.1
Intangible assets	30.3	30.3	30.3	30.3
Goodwill, net book value	69.4	65.9	62.5	59.0
Other long-term assets	66.6	67.0	68.0	69.7
Total assets	71,599.6	72,192.9	74,354.5	77,918.9
Accounts payable	8.7	8.7	8.7	8.7
Income tax payable	23.4	19.7	20.3	21.7
Short-term debt	52.5	52.5	52.5	52.5
Other current liabilities	71,145.5	71,740.0	73,891.1	77,420.6
Total current liabilities	71,230.0	71,820.8	73,972.6	77,503.5
Deferred revenue	–	–	–	–
Long-term debt	0.0	0.0	0.0	0.0
Other long-term liabilities	11.8	11.8	11.8	11.8
Total liabilities	71,242.0	71,832.6	73,984.4	77,515.3
Preferred shares	–	–	–	–
Total common equity	345.0	347.7	357.5	391.0
Minority interest	12.6	12.6	12.6	12.6
Total shareholders' equity	357.6	360.3	370.1	403.6
Total liabilities & equity	71,599.6	72,192.9	74,354.5	77,918.9

Source: Company data, Goldman Sachs Research estimates.

September in recent years), a higher dividend to maintain the dividend payout ratio (we raise our FY3/27 DPS forecast from ¥57 to ¥76), the BOJ rate hike outlook (we estimate that collateral management income accounts for 6-10% of the bottom line), and derivative product growth and inorganic growth in the medium to long term. Downside risks include declines in stock market capitalization and turnover.

Our estimates/target price

Reflecting trading value trends, FY3/27 guidance, and our economists' BOJ policy rate hike outlook, we raise our FY3/27-FY3/29 net profit estimates by 27%/11%/12%. Our 12-month target price of ¥2,400 (+23% vs. previous TP of ¥1,950) is based on a 12-month forward P/E (past 5-year average) of 25.19X and our FY3/28 EPS estimate of ¥95.3. We maintain our Buy rating.

Exhibit 1: Japan Exchange Group: Our new vs. old estimates

	FY25	FY26E	FY26E		FY27E		FY28E			Chg (%)			
	3/26	3/27E	3/27E	3/27E	3/28E	3/28E	3/29E	3/29E		FY25	FY26E	FY27E	FY28E
(JPY bn)	Actual	CoE	Prior	Revised	Prior	Revised	Prior	Revised		3/26	3/27E	3/28E	3/29E
Trading fees	77.3		74.1	95.1	78.0	91.1	82.6	97.5		7%	28%	17%	18%
of which: cash equity	55.3		51.5	70.9	54.2	66.1	57.5	71.7		9%	38%	22%	25%
of which: derivatives	10.6		11.3	12.8	12.5	13.6	13.8	14.2		4%	13%	8%	3%
of which: other access	11.5		11.2	11.4	11.3	11.5	11.4	11.5		2%	1%	1%	1%
Income from securities settlement	54.2		61.9	77.3	75.1	83.5	79.8	90.1		7%	25%	11%	13%
Listing fees	18.7		19.5	20.0	20.2	20.8	20.9	21.5		3%	3%	3%	3%
Information income	33.7		34.4	35.4	36.2	36.6	38.3	38.0		2%	3%	1%	-1%
Other income	14.8		15.7	15.7	16.5	16.5	17.3	17.3		0%	0%	0%	0%
Total revenue	198.7	205.0	205.6	243.6	226.0	248.5	239.0	264.5		5%	18%	10%	11%
Transaction revenue	131.5		135.9	172.5	153.1	174.6	162.4	187.6		7%	27%	14%	16%
Non-transaction revenue	67.2		69.6	71.1	72.9	73.9	76.6	76.9		2%	2%	1%	0%
Other expenses	44.7		50.4	59.0	57.4	67.9	59.7	71.6		3%	17%	18%	20%
Other expenses (incl. cost of system development)	44.7		50.4	59.0	57.4	67.9	59.7	71.6		3%	17%	18%	20%
Total operating expenses	83.6	91.0	91.4	100.7	99.8	110.7	103.8	116.0		1%	10%	11%	12%
Systems expense	38.9		41.0	41.7	42.4	42.8	44.0	44.3		-1%	2%	1%	1%
Non-systems expense	44.7		50.4	59.0	57.4	67.9	59.8	71.7		3%	17%	18%	20%
Operating profit	115.1	115.0	114.2	142.9	126.2	137.8	135.2	148.5		9%	25%	9%	10%
Net non operating income	2.1		2.1	2.9	2.2	3.0	2.3	3.2		11%	41%	41%	41%
Ordinary income	117.2		116.3	145.8	128.3	140.9	137.4	151.7		9%	25%	10%	10%
Extraordinary gain / (loss)	-0.3		0.0	0.0	0.0	0.0	0.0	0.0		-228%	nm	nm	nm
Pretax profit	116.9	116.0	116.3	145.8	128.3	140.9	137.4	151.7		8%	25%	10%	10%
Taxes	35.5		35.6	43.4	39.3	42.0	42.1	45.2		7%	22%	7%	7%
PAT (post-exceptionals)	81.4	80.0	80.7	102.4	89.0	98.9	95.4	106.5		9%	27%	11%	12%
Minority interests	2.3		2.1	2.3	2.1	2.3	2.1	2.3		11%	11%	11%	11%
NPAT (post-exceptionals)	79.1	77.5	78.6	100.1	87.0	96.6	93.3	104.2		9%	27%	11%	12%
EPS (JPY)	76.8	75.4	76.5	98.1	85.1	95.3	91.8	103.3		9%	28%	12%	12%
DPS (JPY)	61	61	57	76	64	66	69	70		15%	32%	3%	2%
Average daily stock turnover (JPY bn)	7,522	7,500	7,197	9,959	7,563	9,201	8,024	10,073		9%	38%	22%	26%
TSE1 Average daily stock turnover (JPY bn)	6,700		6,432	9,154	6,759	8,475	7,171	9,278		9%	42%	25%	29%
Average daily derivatives volume (mn contracts)	1.80		1.97	2.09	2.29	2.22	2.64	2.39		3%	6%	-3%	-9%

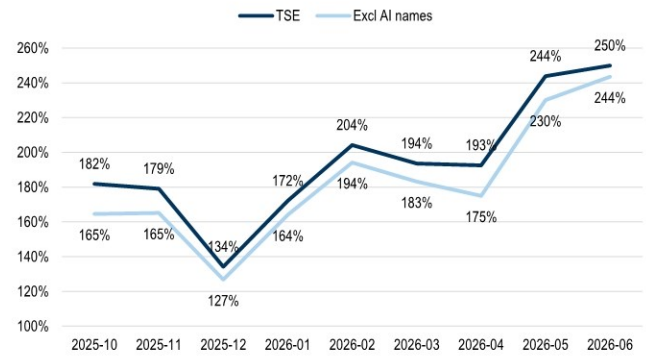
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Market cap, ADTV and turnover of TSE and TSE excluding AI stocks

TSE	Market Cap(mln JPY)	ADTV (mln JPY)	Velocity
2025-10	1,135,064,134	8,425,236	182%
2025-11	1,175,713,281	8,593,779	179%
2025-12	1,187,699,908	6,504,185	134%
2026-01	1,219,638,461	8,568,186	172%
2026-02	1,309,505,530	10,914,239	204%
2026-03	1,292,773,852	10,215,987	194%
2026-04	1,253,310,502	9,850,193	193%
2026-05	1,335,057,267	13,288,627	244%
2026-06	1,380,704,560	14,084,720	250%

Excl AI names	Market Cap(mln JPY)	ADTV (mln JPY)	Velocity
2025-10	975,349,163	6,553,158	165%
2025-11	1,009,789,664	6,804,181	165%
2025-12	1,030,905,174	5,335,422	127%
2026-01	1,059,230,469	7,093,661	164%
2026-02	1,140,116,207	9,036,299	194%
2026-03	1,129,226,764	8,443,252	183%
2026-04	1,084,264,886	7,743,784	175%
2026-05	1,136,671,017	10,674,831	230%
2026-06	1,164,564,531	11,574,710	244%

Source: Company data, LSEG Data & Analytics, Data compiled by Goldman Sachs Global Investment Research

Exhibit 3: Monthly turnover for the entire TSE and TSE excluding AI stocks


TSE turnover includes ETFs & REITs

Source: Company data, LSEG Data & Analytics, Data compiled by Goldman Sachs Global Investment Research

Collateral management income

Exhibit 4: Collateral management interest income model

Unit: ¥ bn

	FY3/26	FY3/27E	FY3/28E	FY3/29E	FY3/27	FY3/27	FY3/27	FY3/27	FY3/28	FY3/28	FY3/28	FY3/28	FY3/29	FY3/29	FY3/29	FY3/29
	FY	FYE	FYE	FYE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE
Specified assets for deposits from clearing	7,716	7,368	7,181	7,000	9,149	6,335	6,418	7,368	6,394	6,046	6,031	7,181	6,829	6,149	6,085	7,000
o/w OTC JGB	1,513	1,445	1,408	1,372	1,794	1,242	1,258	1,445	1,254	1,185	1,182	1,408	1,339	1,206	1,193	1,372
o/w IRS	2,429	2,320	2,281	2,204	2,880	1,994	2,021	2,320	2,013	1,903	1,899	2,261	2,150	1,936	1,916	2,204
o/w Exchange traded	3,774	3,604	3,513	3,424	4,475	3,099	3,139	3,604	3,127	2,957	2,950	3,513	3,340	3,008	2,976	3,424
Mix	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
o/w OTC JGB	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%	20%
o/w IRS	31%	31%	31%	31%	31%	31%	31%	31%	31%	31%	31%	31%	31%	31%	31%	31%
o/w Exchange traded	49%	49%	49%	49%	49%	49%	49%	49%	49%	49%	49%	49%	49%	49%	49%	49%
Participation rate	52%	51%	51%	51%	51%	51%	51%	51%	51%	51%	51%	51%	51%	51%	51%	51%
o/w IRS	91%	91%	91%	91%	91%	91%	91%	91%	91%	91%	91%	91%	91%	91%	91%	91%
o/w Exchange traded	48%	47%	47%	47%	47%	47%	47%	47%	47%	47%	47%	47%	47%	47%	47%	47%
Amount participating	4,000	3,795	3,698	3,605	4,712	3,262	3,305	3,795	3,293	3,113	3,106	3,698	3,517	3,167	3,134	3,605
OTC derivatives	2,200	2,101	2,048	1,996	2,609	1,806	1,830	2,101	1,823	1,724	1,720	2,048	1,947	1,753	1,735	1,996
Exchange trading	1,800	1,694	1,651	1,609	2,103	1,456	1,475	1,694	1,470	1,390	1,387	1,651	1,570	1,414	1,399	1,609
Gross revenue	15.94	32.42	41.68	44.68	7.50	7.61	7.02	10.29	8.74	10.22	9.89	12.84	11.20	10.99	9.98	12.51
OTC derivatives	9.31	16.21	20.77	22.21	3.56	3.97	3.33	5.35	4.14	5.29	4.69	6.65	5.31	5.69	4.73	6.48
Exchange trading	6.63	16.21	20.91	22.47	3.94	3.64	3.69	4.94	4.59	4.92	5.20	6.19	5.89	5.30	5.25	6.03
% yield	0.40%	0.83%	1.11%	1.22%	0.69%	0.76%	0.85%	1.16%	0.99%	1.28%	1.27%	1.51%	1.24%	1.32%	1.27%	1.49%
OTC derivatives	0.42%	0.75%	1.00%	1.10%	0.59%	0.72%	0.73%	1.09%	0.84%	1.19%	1.09%	1.41%	1.06%	1.23%	1.09%	1.39%
Exchange trading	0.37%	0.93%	1.25%	1.38%	0.75%	1.00%	1.00%	1.17%	1.25%	1.42%	1.50%	1.50%	1.50%	1.50%	1.50%	1.50%
Participant returns	-8.85	-20.69	-27.96	-30.15	-4.66	-4.74	-4.70	-6.60	-5.83	-6.75	-6.84	-8.54	-7.60	-7.32	-6.90	-8.33
OTC derivatives	-5.45	-12	-17	-19	-2.58	-2.84	-2.78	-4.04	-3.46	-4.22	-4.17	-5.37	-4.58	-4.59	-4.21	-5.23
Exchange trading	-3.40	-8	-11	-12	-2.08	-1.89	-1.92	-2.55	-2.37	-2.53	-2.67	-3.18	-3.02	-2.72	-2.69	-3.10
% yield																
OTC derivatives	-0.25%	-0.56%	-0.83%	-0.92%	-0.44%	-0.47%	-0.61%	-0.84%	-0.69%	-0.94%	-0.97%	-1.16%	-0.91%	-0.98%	-0.97%	-1.14%
Exchange trading	-0.19%	-0.47%	-0.63%	-0.70%	-0.40%	-0.52%	-0.52%	-0.60%	-0.65%	-0.73%	-0.77%	-0.77%	-0.77%	-0.77%	-0.77%	-0.77%
Net profit (after participant returns)	7.09	11.74	13.71	14.53	2.84	2.88	2.32	3.70	2.91	3.47	3.05	4.29	3.60	3.68	3.07	4.18
OTC derivatives	3.86	3.97	3.56	3.59	0.98	1.13	0.55	1.31	0.68	1.08	0.52	1.28	0.73	1.10	0.52	1.25
Exchange trading	3.23	7.77	10.16	10.93	1.87	1.75	1.77	2.39	2.22	2.39	2.53	3.01	2.87	2.58	2.55	2.94
% yield																
OTC derivatives	0.18%	0.19%	0.17%	0.18%	0.15%	0.25%	0.12%	0.25%	0.15%	0.25%	0.12%	0.25%	0.15%	0.25%	0.12%	0.25%
Exchange trading	0.18%	0.46%	0.62%	0.68%	0.36%	0.48%	0.48%	0.56%	0.61%	0.69%	0.73%	0.73%	0.73%	0.73%	0.73%	0.73%
Policy rate assumption	0.54%	0.98%	1.42%	1.50%	0.75%	1.00%	1.00%	1.17%	1.25%	1.42%	1.50%	1.50%	1.50%	1.50%	1.50%	1.50%

Policy rate assumptions are our economist team's

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Japan Exchange Group

JPX offers cash and derivatives products and services via the business combination of the Tokyo Stock Exchange, Osaka Securities Exchange and Tokyo Commodity Exchange. TSE has over 80% of cash equity trading market share in Japan. We are Buy rated on JPX as we believe the stock offers investors an opportunity to capture Japan listed companies' earnings cycle inflection, along with rising JPY rates leverage and an optionality to participate in the new FX liquidity build-up onshore. P/E valuations have corrected from a peak of 36X during April 2024 to mid-cycle, and risk-reward looks attractive. Moreover, P/E premium vs peer exchanges and TOPIX have retreated to mid-cycle levels. Finally, valuations look attractive relative to forward earnings growth as we project 10% FY25-28E EPS CAGR vs 7% past 10yr CAGR.

Price Target Risks and Methodology - Japan Exchange Group

We are Buy rated on JPX. Our 12-month target price is ¥2,400, derived from our FY3/28 EPS estimate of ¥95.3 and 12-month forward P/E (5Y average) of 25.19X. Downside risks include weaker cash turnover; lower collateral management interest income; weaker derivatives volumes; miss in fee rate.

Disclosure Appendix

Reg AC

We, Makoto Kuroda and Hibiki Takuma, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Makoto Kuroda Goldman Sachs Japan Co., Ltd., Hibiki Takuma Goldman Sachs Japan Co., Ltd..

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Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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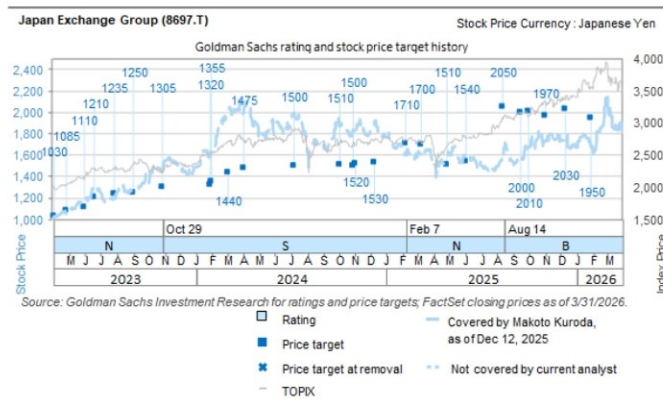
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Target price history table(s)

Japan Exchange Group (8697.T)

Date of report	Target price (¥)	Closing price (¥)
30-Jan-26	1,950	1,687
12-Dec-25	2,030	1,738
03-Nov-25	1,970	1,730
02-Oct-25	2,010	1,613
16-Sep-25	2,000	1,580
14-Aug-25	2,050	1,539
03-Jun-25	1,540	1,573
29-Apr-25	1,510	1,592
10-Mar-25	1,700	1,604
07-Feb-25	1,710	1,603
11-Dec-24	1,530	1,923
04-Nov-24	1,520	1,775
30-Oct-24	1,500	1,838
04-Oct-24	1,510	1,877
08-Jul-24	3,000	1,997
02-Apr-24	2,950	2,000
04-Mar-24	2,880	2,036
02-Feb-24	2,710	1,673
29-Jan-24	2,640	1,592
29-Oct-23	2,610	1,449
04-Sep-23	2,500	1,293
28-Jul-23	2,470	1,200

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